STRATEGY OVERVIEW · BACKTEST REPORT

What $100 could have become

An automated crypto trading system tested on real market data from February 2020 to 19 October 2026, close to 7 years.

$100	$42,907	+42807%	7 / 7
STARTING BALANCE	FINAL BALANCE	TOTAL RETURN	PROFITABLE YEARS

+147%	54 / 81	−47.7%	641
AVERAGE PER YEAR (COMPOUNDED)	PROFITABLE MONTHS	WORST DROP FROM A HIGH	TRADES TAKEN

How it works, in plain words

The system is a set of fixed rules run by a computer. It watches two large, liquid crypto markets around the clock and only acts when its conditions are met. No guessing and no emotions.

1

Wait for a strong move

It waits until price breaks out strongly. It only trades in the direction of the bigger trend, so it can profit when markets go up *or* down.

2

Limit the loss before entering

Every trade has an exit point for a loss, set before the trade is opened. Each trade can lose at most about **5% of the account**.

3

Let winners run

The profit target is about **4 times** the amount risked. If neither the loss limit nor the target is hit within 8 days, the trade is closed.

What to expect

- **Most trades are small losses.** Only about 39% of trades win. The system makes money because the wins are much bigger than the losses.
- **Some months are red, sometimes several in a row.** That is normal for this kind of system. Page 9 shows every bad stretch.
- **The swings are big.** With 5% risked per trade, the account once fell **−48%** from its high before recovering, and single months lost up to −28%.
- **It does best when markets move strongly** (big rallies or big sell-offs) and slowly gives back a little when prices drift sideways.
- **All trading costs are included:** exchange fees, slippage (getting a slightly worse price than planned) and funding charges, using conservative assumptions.

How the compounding works. We start with $100 on 1 February 2020. During each year, every trade risks 5% of the balance the account had on **1 January** of that year. On 1 January of the next year, the risk is recalculated from the new, bigger balance. So the profit is **re-invested once a year**, and every year starts from the previous year's final balance.

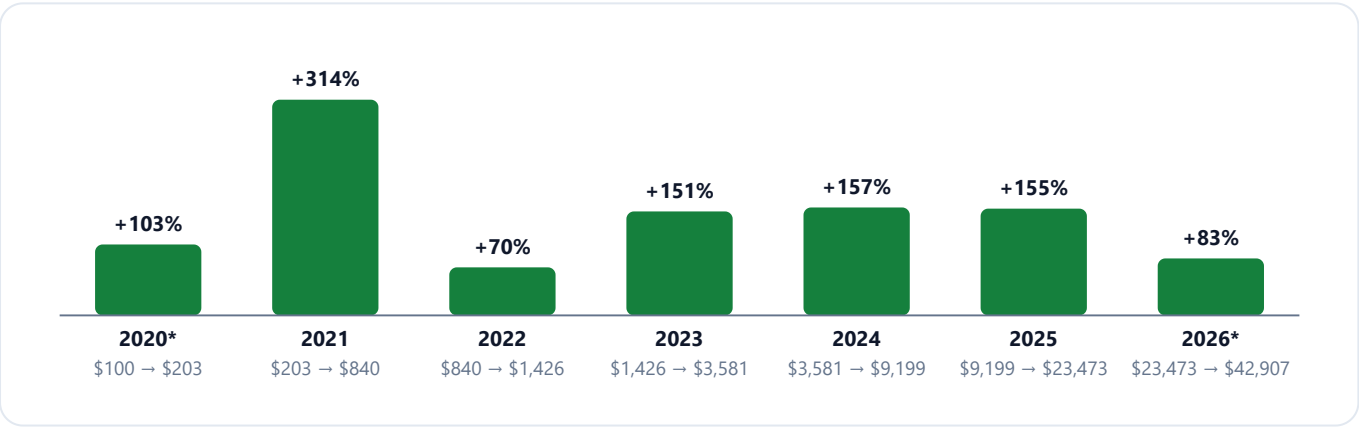
Growth of $100

Account balance after every trade. The dots show the balance at the end of each year. The scale grows evenly in percentage terms, so a 10% gain looks the same size in 2021 as in 2025.



Return each year

Each bar is that year's gain as a percentage of the balance it started with.



Year-by-year summary (compounded)

YEAR	STARTING BALANCE	PROFIT / LOSS	RETURN	FINAL BALANCE	TRADES	GREEN MONTHS
2020 from Feb	$100.00	+$103.08	+103.1%	**$203.08**	54	7 / 11
2021	$203.08	+$636.71	+313.5%	**$839.79**	100	10 / 12
2022	$839.79	+$586.38	+69.8%	**$1,426.17**	103	7 / 12
2023	$1,426.17	+$2,155.07	+151.1%	**$3,581.24**	99	7 / 12
2024	$3,581.24	+$5,617.82	+156.9%	**$9,199.06**	98	9 / 12
2025	$9,199.06	+$14,274.22	+155.2%	**$23,473.27**	101	8 / 12
2026 to 19 Oct	$23,473.27	+$19,433.26	+82.8%	**$42,906.53**	86	6 / 10
Total	**$100.00**	**+$42,806.53**	**+42806.5%**	$42,906.53	**641**	**54 / 81**

* 2020 starts in February (first available data). 2026 runs to 19 October 2026.

What if profits were re-invested more often?

This report re-invests profits **once a year**. Here are the exact same trades with the trade size updated more often. The only thing that changes is **when** the 5% trade size is recalculated from the current balance.

EVERY YEAR · USED IN THIS REPORT

$42,907

Biggest drop: **−47.7%**

Trade size = 5% of the balance on 1 January, kept all year.

EVERY MONTH

$138,079

Biggest drop: **−61.0%**

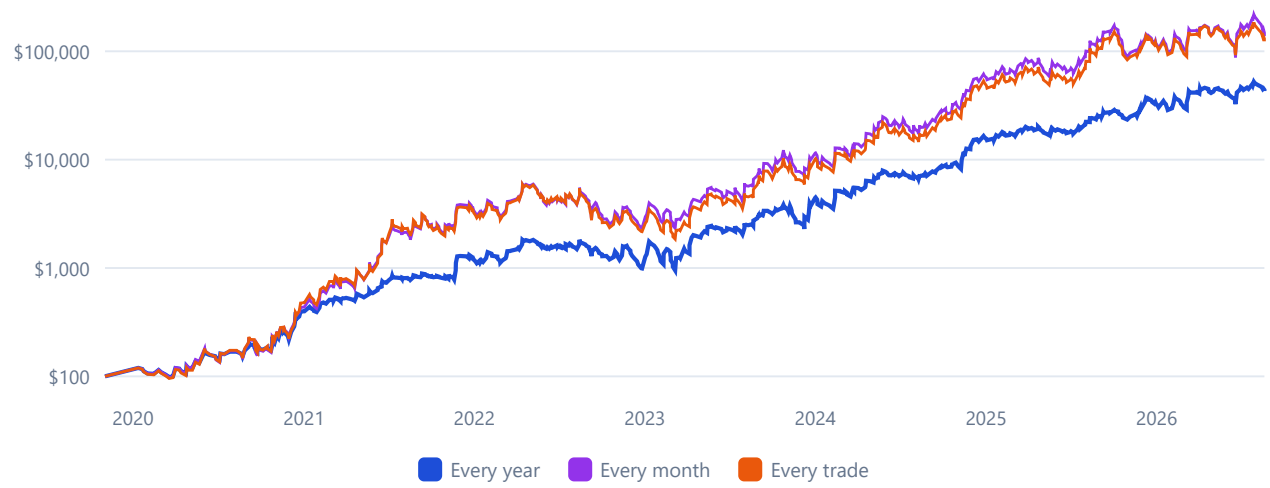
Trade size = 5% of the balance at the start of each month.

EVERY TRADE

$123,828

Biggest drop: **−68.6%**

Trade size = 5% of the balance when each trade opens.



Where $100 ends up each year

YEAR	EVERY YEAR	EVERY MONTH	EVERY TRADE
2020	$203.08 +103.1%	$216.15 +116.2%	$215.02 +115.0%
2021	$839.79 +313.5%	$2,507.04 +1059.9%	$2,381.61 +1007.6%
2022	$1,426.17 +69.8%	$3,286.77 +31.1%	$3,019.03 +26.8%
2023	$3,581.24 +151.1%	$10,554.11 +221.1%	$8,652.65 +186.6%
2024	$9,199.06 +156.9%	$32,120.28 +204.3%	$27,125.04 +213.5%
2025	$23,473.27 +155.2%	$88,166.52 +174.5%	$83,355.77 +207.3%
2026	$42,906.53 +82.8%	$138,079.12 +56.6%	$123,827.65 +48.6%
Biggest drop ever	**−47.7%**	**−61.0%**	**−68.6%**

Bigger numbers, bigger drops. Re-investing more often makes winning streaks grow faster, but it also makes losses bigger right after the account has grown. The deepest drop goes from −48% (yearly) to −61% (monthly) and −69% (every trade). The rest of this report uses the yearly method because it is the easiest to follow and has the smallest drops.

Monthly calendar

Every month at a glance. Green = the account grew that month, red = it shrank. The stronger the colour, the bigger the move. Numbers are the % change of the balance during that month.

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR
2020	–	0.0%	+11.7%	−2.4%	+9.4%	−0.1%	+27.0%	−2.3%	+14.3%	+2.3%	+2.9%	+14.1%	**+103%**
2021	+7.4%	+81.9%	−1.1%	+29.6%	+3.9%	+5.6%	+5.1%	+31.4%	+5.9%	+2.2%	−0.2%	+1.0%	**+314%**
2022	+53.9%	−7.5%	+17.1%	−20.0%	+29.2%	+22.2%	−12.4%	+2.6%	−0.2%	+0.9%	−16.5%	+6.7%	**+70%**
2023	−3.7%	−27.9%	+39.7%	−14.8%	+21.5%	+33.9%	+21.7%	−0.1%	−12.1%	+42.9%	+7.5%	+13.9%	**+151%**
2024	−28.3%	+46.5%	+5.7%	+28.9%	+7.5%	+15.1%	+22.0%	−8.9%	−0.9%	+1.6%	+19.9%	+8.3%	**+157%**
2025	+45.6%	+19.7%	+1.8%	+4.4%	+12.2%	−2.2%	−1.0%	−1.1%	+11.9%	+21.6%	+8.2%	−12.9%	**+155%**
2026	+25.2%	+15.7%	−15.5%	+5.4%	+38.8%	−2.0%	−1.2%	+14.3%	+9.4%	−15.7%	–	–	**+83%**

Big loss month · Small loss · Small gain · Big gain month · Not in test period

Monthly profit in dollars

The same months, shown as the dollar profit or loss on the account.

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR
2020	–	$0	+$12	−$3	+$10	−$0	+$32	−$4	+$21	+$4	+$5	+$25	**+$103**
2021	+$15	+$179	−$4	+$116	+$20	+$29	+$28	+$184	+$45	+$18	−$2	+$8	**+$637**
2022	+$452	−$97	+$204	−$280	+$327	+$321	−$220	+$40	−$3	+$15	−$264	+$90	**+$586**
2023	−$53	−$383	+$393	−$205	+$253	+$485	+$416	−$3	−$282	+$878	+$220	+$437	**+$2,155**
2024	−$1,015	+$1,192	+$213	+$1,148	+$383	+$829	+$1,394	−$688	−$63	+$115	+$1,409	+$702	**+$5,618**
2025	+$4,196	+$2,634	+$283	+$718	+$2,077	−$412	−$183	−$208	+$2,185	+$4,420	+$2,032	−$3,467	**+$14,274**
2026	+$5,905	+$4,623	−$5,259	+$1,546	+$11,748	−$829	−$497	+$5,821	+$4,370	−$7,994	–	–	**+$19,433**

5 best months

February 2021	+81.9%	+$178.57
January 2022	+53.9%	+$452.47
February 2024	+46.5%	+$1,192.28
January 2025	+45.6%	+$4,195.57
October 2023	+42.9%	+$878.21

5 worst months

January 2024	−28.3%	−$1,014.83
February 2023	−27.9%	−$383.23
April 2022	−20.0%	−$279.52
November 2022	−16.5%	−$263.86
October 2026	−15.7%	−$7,994.28

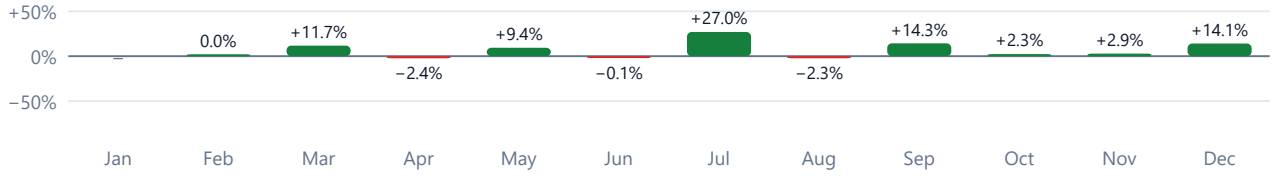
Year by year, month by month

Each year starts from the previous year's final balance (compounding). Bars show the % gain or loss of each month.

2020

Feb – Dec · 7 green · 4 red months

$100.00 → **$203.08** **+103.1%**



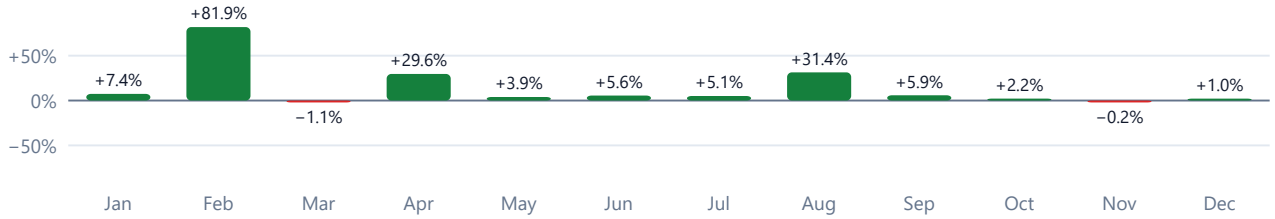
MONTH	TRADES	PROFIT / LOSS	MONTH RETURN	BALANCE AT MONTH END
February	0	$0.00	0.0%	$100.00
March	3	+$11.74	+11.7%	$111.74
April	4	−$2.64	−2.4%	$109.10
May	4	+$10.24	+9.4%	$119.34
June	5	−$0.08	−0.1%	$119.25
July	4	+$32.19	+27.0%	$151.44
August	5	−$3.50	−2.3%	$147.93
September	4	+$21.16	+14.3%	$169.10
October	5	+$3.91	+2.3%	$173.00
November	12	+$4.95	+2.9%	$177.96
December	8	+$25.12	+14.1%	$203.08
2020 total	**54**	**+$103.08**	**+103.1%**	**$203.08**

Each trade this year risked about **$5.00** (5% of the $100.00 starting balance). $203.08 carries over to 2021.

2021

10 green · 2 red months

$203.08 → **$839.79** **+313.5%**



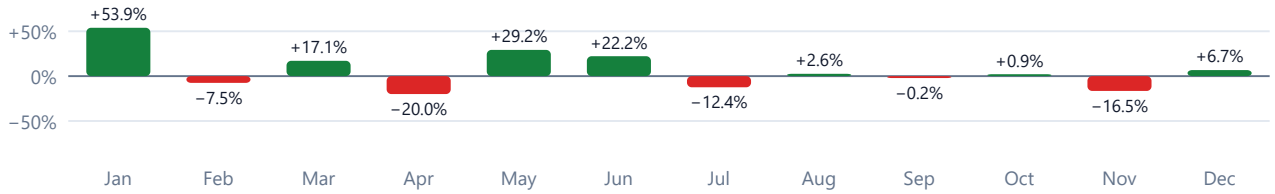
MONTH	TRADES	PROFIT / LOSS	MONTH RETURN	BALANCE AT MONTH END
January	11	+$15.05	+7.4%	$218.13
February	7	+$178.57	+81.9%	$396.70
March	6	−$4.22	−1.1%	$392.48
April	5	+$116.31	+29.6%	$508.79
May	11	+$20.07	+3.9%	$528.87
June	8	+$29.38	+5.6%	$558.24
July	7	+$28.22	+5.1%	$586.47
August	9	+$184.09	+31.4%	$770.56
September	9	+$45.17	+5.9%	$815.73
October	9	+$17.59	+2.2%	$833.32
November	10	−$1.92	−0.2%	$831.40
December	8	+$8.38	+1.0%	$839.79
2021 total	**100**	**+$636.71**	**+313.5%**	**$839.79**

Each trade this year risked about **$10.15** (5% of the $203.08 starting balance). $839.79 carries over to 2022.

2022

7 green · 5 red months

$839.79 → **$1,426.17** **+69.8%**



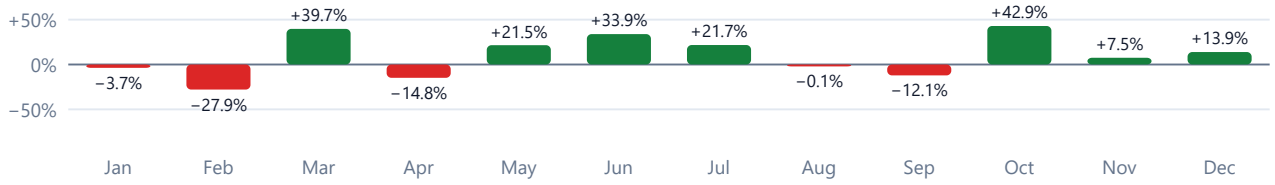
MONTH	TRADES	PROFIT / LOSS	MONTH RETURN	BALANCE AT MONTH END
January	9	+$452.47	+53.9%	$1,292.26
February	7	−$97.10	−7.5%	$1,195.16
March	8	+$203.94	+17.1%	$1,399.10
April	8	−$279.52	−20.0%	$1,119.59
May	6	+$327.28	+29.2%	$1,446.87
June	8	+$321.21	+22.2%	$1,768.08
July	10	−$219.68	−12.4%	$1,548.39
August	8	+$40.06	+2.6%	$1,588.45
September	9	−$3.25	−0.2%	$1,585.20
October	9	+$14.80	+0.9%	$1,600.00
November	14	−$263.86	−16.5%	$1,336.14
December	7	+$90.03	+6.7%	$1,426.17
2022 total	**103**	**+$586.38**	**+69.8%**	**$1,426.17**

Each trade this year risked about **$41.99** (5% of the $839.79 starting balance). $1,426.17 carries over to 2023.

2023

7 green · 5 red months

$1,426.17 → **$3,581.24** **+151.1%**



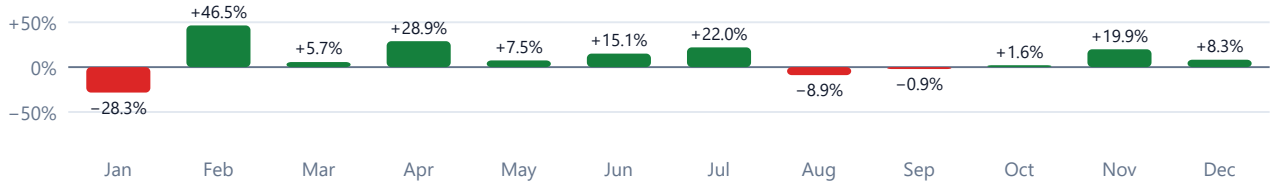
MONTH	TRADES	PROFIT / LOSS	MONTH RETURN	BALANCE AT MONTH END
January	10	−$53.00	−3.7%	$1,373.17
February	6	−$383.23	−27.9%	$989.94
March	9	+$392.87	+39.7%	$1,382.81
April	11	−$204.99	−14.8%	$1,177.82
May	8	+$253.48	+21.5%	$1,431.29
June	6	+$484.86	+33.9%	$1,916.16
July	7	+$415.88	+21.7%	$2,332.04
August	6	−$3.04	−0.1%	$2,329.00
September	8	−$282.46	−12.1%	$2,046.53
October	10	+$878.21	+42.9%	$2,924.74
November	9	+$219.67	+7.5%	$3,144.41
December	9	+$436.83	+13.9%	$3,581.24
2023 total	**99**	**+$2,155.07**	**+151.1%**	**$3,581.24**

Each trade this year risked about **$71.31** (5% of the $1,426.17 starting balance). $3,581.24 carries over to 2024.

2024

9 green · 3 red months

$3,581.24 → **$9,199.06** **+156.9%**



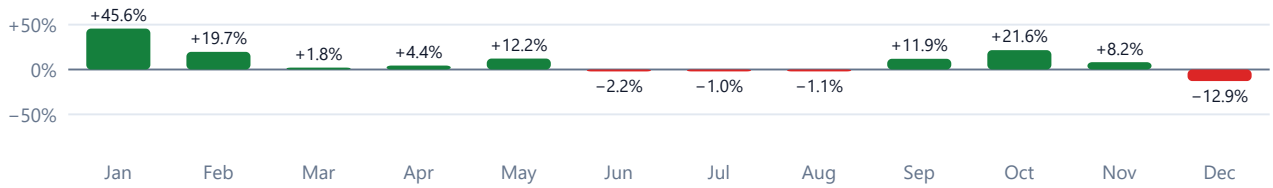
MONTH	TRADES	PROFIT / LOSS	MONTH RETURN	BALANCE AT MONTH END
January	11	−$1,014.83	−28.3%	$2,566.40
February	7	+$1,192.28	+46.5%	$3,758.69
March	8	+$212.57	+5.7%	$3,971.25
April	8	+$1,148.11	+28.9%	$5,119.36
May	8	+$382.69	+7.5%	$5,502.06
June	7	+$829.35	+15.1%	$6,331.41
July	9	+$1,393.58	+22.0%	$7,724.99
August	9	−$687.88	−8.9%	$7,037.11
September	9	−$63.35	−0.9%	$6,973.76
October	8	+$114.75	+1.6%	$7,088.51
November	6	+$1,408.97	+19.9%	$8,497.48
December	8	+$701.57	+8.3%	$9,199.06
2024 total	**98**	**+$5,617.82**	**+156.9%**	**$9,199.06**

Each trade this year risked about **$179.06** (5% of the $3,581.24 starting balance). $9,199.06 carries over to 2025.

2025

8 green · 4 red months

$9,199.06 → **$23,473.27** **+155.2%**



MONTH	TRADES	PROFIT / LOSS	MONTH RETURN	BALANCE AT MONTH END
January	9	+$4,195.57	+45.6%	$13,394.62
February	6	+$2,633.86	+19.7%	$16,028.49
March	7	+$283.42	+1.8%	$16,311.91
April	8	+$717.89	+4.4%	$17,029.81
May	9	+$2,076.64	+12.2%	$19,106.44
June	8	−$412.08	−2.2%	$18,694.36
July	9	−$183.48	−1.0%	$18,510.88
August	8	−$207.84	−1.1%	$18,303.04
September	8	+$2,185.28	+11.9%	$20,488.32
October	10	+$4,420.07	+21.6%	$24,908.39
November	7	+$2,032.17	+8.2%	$26,940.56
December	12	−$3,467.29	−12.9%	$23,473.27
2025 total	**101**	**+$14,274.22**	**+155.2%**	**$23,473.27**

Each trade this year risked about **$459.95** (5% of the $9,199.06 starting balance). $23,473.27 carries over to 2026.

2026 Jan – 19 Oct 6 green · 4 red months

$23,473.27 → **$42,906.53** **+82.8%**



MONTH	TRADES	PROFIT / LOSS	MONTH RETURN	BALANCE AT MONTH END
January	7	+$5,904.59	+25.2%	$29,377.86
February	9	+$4,623.03	+15.7%	$34,000.89
March	9	−$5,258.87	−15.5%	$28,742.02
April	9	+$1,546.27	+5.4%	$30,288.28
May	7	+$11,747.55	+38.8%	$42,035.83
June	9	−$829.42	−2.0%	$41,206.41
July	7	−$496.85	−1.2%	$40,709.55
August	13	+$5,821.47	+14.3%	$46,531.03
September	8	+$4,369.79	+9.4%	$50,900.82
October	8	−$7,994.28	−15.7%	$42,906.53
2026 total	**86**	**+$19,433.26**	**+82.8%**	**$42,906.53**

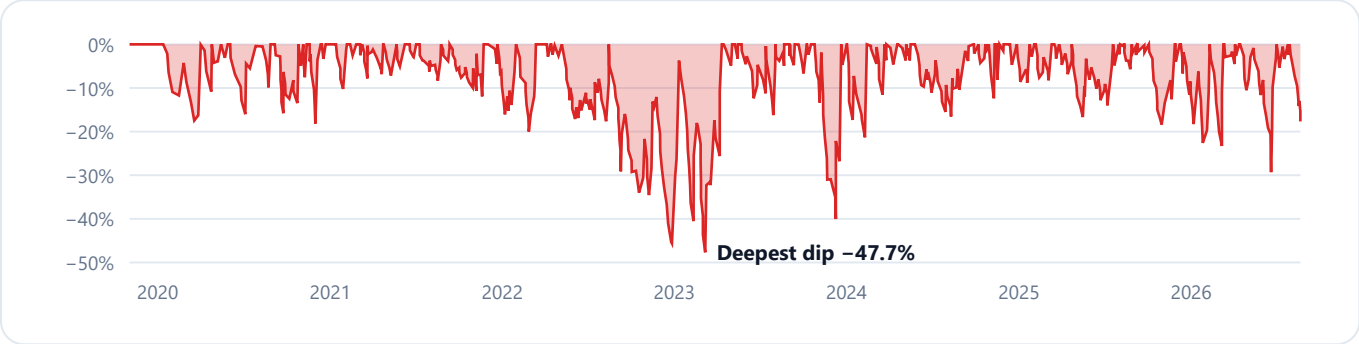
Each trade this year risked about **$1,173.66** (5% of the $23,473.27 starting balance).

The hard parts: losses and drawdowns

This page shows the bad stretches so you know what to expect. A **drawdown** is how far the balance fell below its highest point before it recovered.

−47.7%	−28.3%	3 months	12
DEEPEST DRAWDOWN	WORST SINGLE MONTH	LONGEST RED STREAK	MOST LOSING TRADES IN A ROW

How far below its high the account was, over time



The deepest drop was **−47.7%**, from the high in Oct 2022 to the low in May 2023. On a $1,000 account that is about $477 lost from the top before the account recovered and moved higher.

Losing months in a row

PERIOD	RED MONTHS	COMBINED LOSS	MONTHS IN THAT STREAK
June 2025 – August 2025	3	−4.2%	Jun −2.2% · Jul −1.0% · Aug −1.1%
January 2023 – February 2023	2	−30.6%	Jan −3.7% · Feb −27.9%
August 2023 – September 2023	2	−12.2%	Aug −0.1% · Sep −12.1%
August 2024 – September 2024	2	−9.7%	Aug −8.9% · Sep −0.9%
June 2026 – July 2026	2	−3.2%	Jun −2.0% · Jul −1.2%

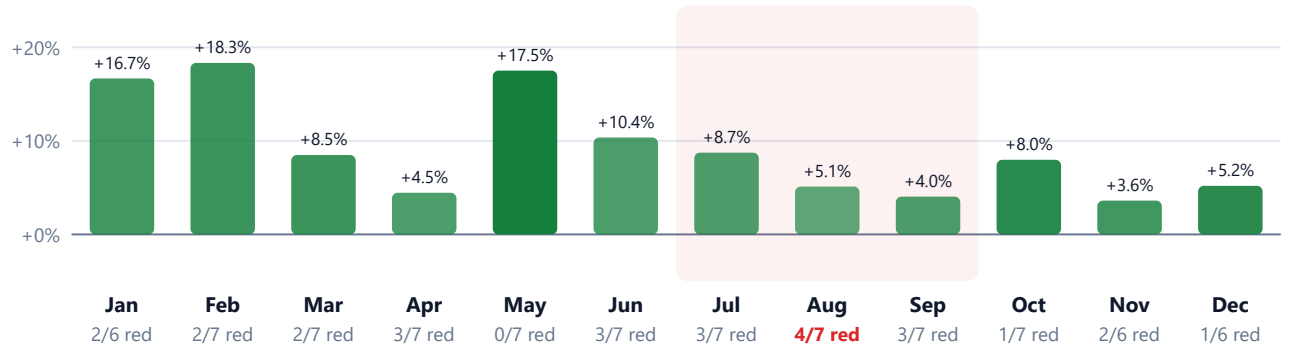
Be ready for this. In 26 of 81 months (32%) the account went down. There were stretches of 12 losing trades in a row. Someone who stops after a few bad months usually misses the big winning months that follow (for example, after the red months of early 2024, the account gained +157% that year). The future can also bring a drawdown **deeper** than anything shown here.

Patterns: which months and quarters are weaker?

Extra statistics on all 81 months of the test, grouped by calendar month and by quarter. They show **when** the losing months tend to happen, and what the market looked like in those months.

Average result per calendar month

Bar = the average % gain of that month across all years. Below = how many times that month ended red. Paler bars had more red years. The shaded block is the weakest quarter.



By quarter

Q1 · JAN–MAR

6 / 20 red

Average month **+14.4%**
Winning trades 40%
Price movement 36% / month

Q2 · APR–JUN

6 / 21 red

Average month **+10.8%**
Winning trades 41%
Price movement 24% / month

Q3 · JUL–SEP · WEAKEST

10 / 21 red

Average month **+6.0%**
Winning trades 39%
Price movement 26% / month

Q4 · OCT–DEC · FEWEST REDS

4 / 19 red

Average month **+5.7%**
Winning trades 35%
Price movement 37% / month

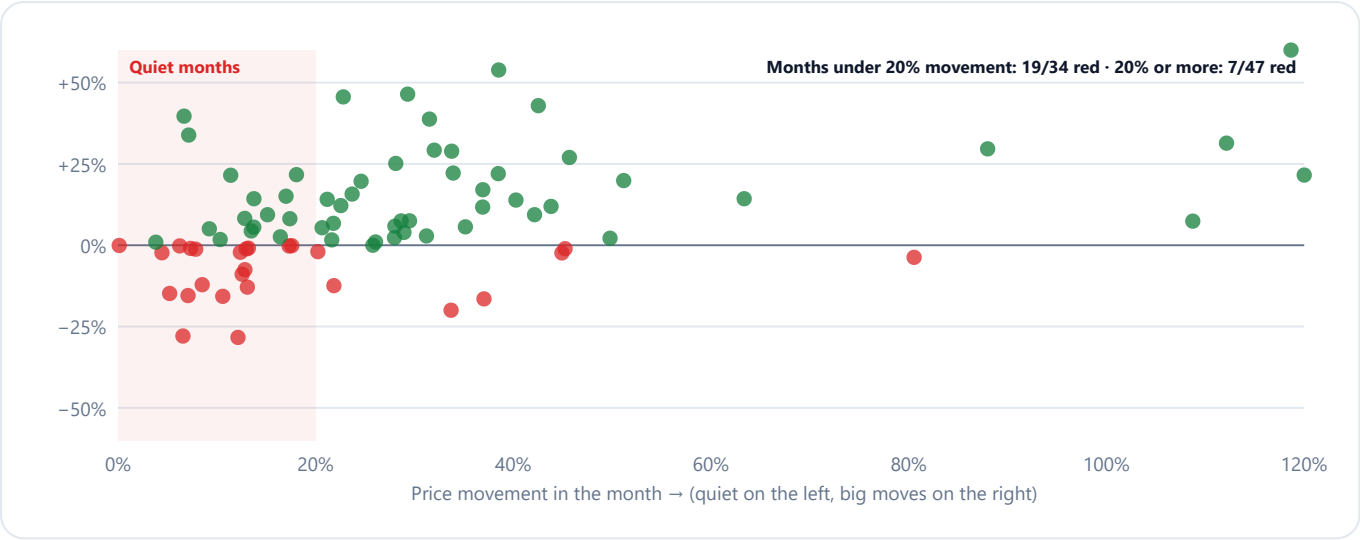
Each quarter, each year

	2020	2021	2022	2023	2024	2025	2026
Q1	+12%	+93%	+67%	−3%	+11%	+77%	+22%
Q2	+7%	+42%	+26%	+39%	+59%	+15%	+43%
Q3	+42%	+46%	−10%	+7%	+10%	+10%	+24%
Q4	+20%	+3%	−10%	+75%	+32%	+15%	−16%

Q4 2026 only covers 1–19 October.

Why do the red months happen?

Each dot is one month of the test. Left to right = how much the two markets moved that month. Up/down = how the account did.



Red months vs green months

The system makes money from strong, one-directional moves. We compared the market in the 26 red months with the 54 green months:

AVERAGE OVER BOTH MARKETS	RED MONTHS	GREEN MONTHS
Price movement in the month	18%	37%
Trend score (how straight the move was)	6.7	10.8
Trades that hit the full profit target	6%	22%
Trades that won	23%	47%

In short: red months are **quiet, choppy months**. Prices moved about half as much and went sideways more, so breakouts kept failing and few trades reached their profit target. **Jul–Sep** (summer) is usually the calmest stretch in crypto, which is why 10 of its 21 months were red. August was red 4 of 7 times. May never ended red. Calm months mostly cost a little, while big trending months make the year.

Treat this as a tendency, not a rule. Each calendar month appears only 6–7 times, so a single year can change the picture. Every quarter is still profitable on average, and the weak quarter moves around: Q3 and Q4 2022 were red, Q1 2023 was red, and early Q4 2026 is red. We do **not** switch the system off in any season, because some of the best months (e.g. July 2020 and August 2021) fell inside the "weak" quarter.

Important notes

Please read before drawing any conclusions from this report.

What this test is

- A **backtest**: the trading rules were applied to historical prices to see what *would* have happened. It is a simulation, not a record of real trades.
- Prices are real 4-hour market data from a major exchange, February 2020 to 19 October 2026. Decisions are made only on information that was available at the time, and the test was checked to make sure it never "peeks" at future prices.
- Costs are set on the conservative side: 0.08% exchange fee on every buy and sell, plus 0.05% slippage on every fill, plus the real funding charges of the period.
- Two markets are traded from one account. Their good and bad periods often fall at different times, which smooths the overall result.

What this test is not

- **Not a promise.** Past results, simulated or real, do not guarantee future returns. Markets change, and a strategy that worked before can stop working.
- Real trading can differ from the simulation: exchange outages, sudden price gaps, minimum order sizes and delays can make real results worse.
- The rules were developed while looking at historical data, so some of the past performance may be better than what can be repeated.
- **5% risk per trade is aggressive.** It produces the large growth shown here, but also the deep drops on page 8. Lower risk means smaller swings and smaller returns.
- Crypto is very volatile. **Only use money you can afford to lose.**

The numbers in one line per year

YEAR	START	END	RETURN	BEST MONTH	WORST MONTH
2020	$100.00	$203.08	+103.1%	Jul +27.0%	Apr −2.4%
2021	$203.08	$839.79	+313.5%	Feb +81.9%	Mar −1.1%
2022	$839.79	$1,426.17	+69.8%	Jan +53.9%	Apr −20.0%
2023	$1,426.17	$3,581.24	+151.1%	Oct +42.9%	Feb −27.9%
2024	$3,581.24	$9,199.06	+156.9%	Feb +46.5%	Jan −28.3%
2025	$9,199.06	$23,473.27	+155.2%	Jan +45.6%	Dec −12.9%
2026	$23,473.27	$42,906.53	+82.8%	May +38.8%	Oct −15.7%

> Results are shown for a $100 start so they are easy to scale. A $1,000 start would show every dollar figure ×10, and the percentages stay the same.